

3.1.4 Market Failure

The Meaning of Market Failure

Candidates should understand that market failure occurs whenever a market leads to a misallocation of resources. They should appreciate the difference between complete market failure (resulting in a missing market), and partial market failure, where a market exists but contributes to resource misallocation.

Candidates should understand how public goods, positive and negative externalities, merit and demerit goods, monopoly and other market imperfections, and inequalities in the distribution of income and wealth can lead to market failure.

Candidates should be able to give examples of each of these causes of market failure.

Public Goods

Candidates should understand that pure public goods are non-rival and non-excludable and recognise the significance of these characteristics. Candidates should understand the difference between a public good and a private good, and consider whether under certain circumstances, a public good may take on some of the characteristics of a private good.

Positive and Negative Externalities in Consumption and Production

Candidates should understand that externalities exist when there is a divergence between private and social costs and benefits and that negative externalities are likely to result in over-production.

Candidates should be able to illustrate the misallocation of resources resulting from the production of externalities, using diagrams showing marginal private and social cost and benefit curves.

Merit and Demerit Goods

Candidates should understand that the classification of merit and demerit goods depends upon a value judgement and that such products may also be subject to externalities. They should also understand how under-provision of merit goods, and over-provision of demerit goods may result from imperfect information.

Candidates should be able to illustrate the misallocation of resources resulting from the consumption of merit and demerit goods using diagrams showing marginal private and social cost and benefit curves.

Note: at AS, externalities and merit and demerit goods provide the only contexts in which candidates are expected to use diagrams showing the concept of the margin.

Monopoly and the Allocation of Resources

Candidates should understand that monopolies have market power and that the basic model of monopoly suggests that higher prices, inefficiency and a misallocation of resources may result in monopoly, compared to the outcome in a competitive market. Candidates should understand that monopoly can provide an example of market failure.

Candidates should be aware of the various factors which affect the behaviour and performance of firms in a variety of real world markets and are sources of monopoly power. The factors include different barriers to entry and the degree of concentration and product differentiation.

Candidates should understand the potential benefits from monopoly, for example, economies of scale and possibly more invention and innovation.

*Note: candidates are **not** expected to know the formal model of monopoly. However, candidates should be able to use two diagrams to illustrate the costs and benefits of monopoly: a market demand curve showing the effect on price of producing a lower output; and a cost curve to show economies and diseconomies of scale. Knowledge of monopoly revenue curves is **not** required. These topics are assessed in Unit 3.*

Immobility of Factors of Production

Candidates should understand that the immobility of factors of production is likely to result in a misallocation of resources and therefore cause market failure.

Inequalities in the Distribution of Income and Wealth

Candidates should understand that, in a market economy, an individual's ability to consume goods and services depends upon his/her income and wealth and that an unequal distribution of income and wealth may result in an unsatisfactory allocation of resources.

*Note: it is **not** necessary at this stage for candidates to study the causes of inequalities in the distribution of income and wealth. This is assessed in Unit 3.*